

SOLVED PRACTICE WORKBOOK

Taxation, GST, Finance Commission and Fiscal Federalism - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

Taxation, GST, Finance Commission and Fiscal Federalism REFRESHED TEACHING NAVIGATION — BASIC/CORE FIRST	
01 FOUNDATION — DIRECT, INDIRECT AND PROGRESSIVE TAX INCIDENCE Progressive, proportional and regressive describe how the burden	02 FOUNDATION — GST DESTINATION PRINCIPLE GST is a destination-based value-added tax on supply, so final
03 FOUNDATION — INPUT TAX CREDIT AND CASCADING Mechanism chain: Input tax credit Qualified use: Balance	04 CORE — UNION TAXES SUBSUMED INTO GST Mechanism chain: Subsumed Union taxes Qualified use: Separate
05 CORE — STATE TAXES SUBSUMED INTO GST Technically, CORE — State taxes subsumed into GST is analysed by	06 CORE — GST EXCLUSIONS AND ARTICLE 279A VOTING Technically, CORE — GST exclusions and Article 279A voting is
07 CORE — IGST INTER-STATE SETTLEMENT Mechanism chain: IGST settlement Qualified use: Separate legal	08 CORE — GST COMPENSATION TRANSITION Mechanism chain: GST compensation Qualified use: Map GST through
09 CORE — FINANCE COMMISSION ROLE Mechanism chain: Finance Commission role Qualified use: Balance	10 CORE — VERTICAL AND HORIZONTAL FISCAL IMBALANCE Technically, CORE — Vertical and horizontal fiscal imbalance is
11 CORE — FIFTEENTH AND SIXTEENTH FINANCE COMMISSIONS Technically, CORE — Fifteenth and Sixteenth Finance Commissions is	12 CORE — CESSSES, SURCHARGES AND THE DIVISIBLE POOL Cesses and surcharges have sharing treatment distinct from ordinary
13 CORE SYNTHESIS — CBDT, CBIC AND STATE ADMINISTRATION Technically, CORE SYNTHESIS — CBDT, CBIC and state administration	14 CORE SYNTHESIS — ECONOMIC-ENFORCEMENT AND AGRICULTURAL-INCOME BOUNDARIES Technically, CORE SYNTHESIS — Economic-enforcement and
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Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

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BASIC MCQS / REMEDIATION

Q1. Which statement correctly identifies Direct and indirect taxes?

A. Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. B. Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. C. Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. D. GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment.

Answer: A. Explanation: Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q2. Which option preserves the accounting or regulatory boundary of Direct and indirect taxes?

A. GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. B. Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. C. The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. D. Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied.

Answer: B. Explanation: Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q3. Which statement uses Direct and indirect taxes without losing its vintage, basket or legal status?

A. The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. B. Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. C. Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. D. The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST.

Answer: C. Explanation: Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q4. Which option avoids the standard UPSC close-option trap about Direct and indirect taxes?

A. The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. B. The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. C. Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. D. Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices.

Answer: D. Explanation: Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q5. Which statement correctly identifies Progressivity?

A. Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. B. The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. C. GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. D. Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied.

Answer: A. Explanation: Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q6. Which option preserves the accounting or regulatory boundary of Progressivity?

A. The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. B. Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. C. Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. D. The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST.

Answer: B. Explanation: Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q7. Which statement uses Progressivity without losing its vintage, basket or legal status?

A. Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. B. The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. C. Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. D. The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST.

Answer: C. Explanation: Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q8. Which option avoids the standard UPSC close-option trap about Progressivity?

A. The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. B. Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. C. Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. D. Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence.

Answer: D. Explanation: Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q9. Which statement correctly identifies GST destination principle?

A. GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. B. Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. C. The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. D. The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST.

Answer: A. Explanation: GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q10. Which option preserves the accounting or regulatory boundary of GST destination principle?

A. The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. B. GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. C. The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. D. Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage.

Answer: B. Explanation: GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q11. Which statement uses GST destination principle without losing its vintage, basket or legal status?

A. The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. B. Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. C. GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. D. Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision.

Answer: C. Explanation: GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q12. Which option avoids the standard UPSC close-option trap about GST destination principle?

A. Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. B. The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. C. Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. D. GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment.

Answer: D. Explanation: GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q13. Which statement correctly identifies Input tax credit?

A. Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. B. Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. C. The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. D. The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST.

Answer: A. Explanation: Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q14. Which option preserves the accounting or regulatory boundary of Input tax credit?

A. The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. B. Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. C. Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. D. Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage.

Answer: B. Explanation: Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q15. Which statement uses Input tax credit without losing its vintage, basket or legal status?

A. Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. B. The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. C. Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. D. Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision.

Answer: C. Explanation: Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q16. Which option avoids the standard UPSC close-option trap about Input tax credit?

A. Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. B. The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. C. The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. D. Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied.

Answer: D. Explanation: Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q17. Which statement correctly identifies Subsumed Union taxes?

A. The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. B. Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. C. Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. D. The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST.

Answer: A. Explanation: The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q18. Which option preserves the accounting or regulatory boundary of Subsumed Union taxes?

A. Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. B. The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. C. Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. D. The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention.

Answer: B. Explanation: The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q19. Which statement uses Subsumed Union taxes without losing its vintage, basket or legal status?

A. Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. B. The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. C. The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. D. The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention.

Answer: C. Explanation: The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q20. Which option avoids the standard UPSC close-option trap about Subsumed Union taxes?

A. The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. B. The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. C. The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. D. The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST.

Answer: D. Explanation: The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into

GST. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q21. Which statement correctly identifies Subsumed State taxes?

A. The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. B. Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. C. The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. D. Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision.

Answer: A. Explanation: The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q22. Which option preserves the accounting or regulatory boundary of Subsumed State taxes?

A. The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. B. The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. C. The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. D. Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision.

Answer: B. Explanation: The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q23. Which statement uses Subsumed State taxes without losing its vintage, basket or legal status?

A. The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. B. The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. C. The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. D. The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement.

Answer: C. Explanation: The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q24. Which option avoids the standard UPSC close-option trap about Subsumed State taxes?

A. The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. B. Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. C. The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. D. The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST.

Answer: D. Explanation: The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q25. Which statement correctly identifies GST exclusions?

A. Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. B. The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. C. Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. D. The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement.

Answer: A. Explanation: Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q26. Which option preserves the accounting or regulatory boundary of GST exclusions?

A. The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. B. Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. C. The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. D. The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention.

Answer: B. Explanation: Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q27. Which statement uses GST exclusions without losing its vintage, basket or legal status?

A. The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. B. The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. C. Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. D. Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria.

Answer: C. Explanation: Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

baskets, instruments, institutions or legal perimeters.

Q28. Which option avoids the standard UPSC close-option trap about GST exclusions?

A. The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. B. Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. C. The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. D. Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage.

Answer: D. Explanation: Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q29. Which statement correctly identifies GST Council voting?

A. Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. B. The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. C. The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. D. The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention.

Answer: A. Explanation: Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q30. Which option preserves the accounting or regulatory boundary of GST Council voting?

A. The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. B. Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. C. The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. D. Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria.

Answer: B. Explanation: Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q31. Which statement uses GST Council voting without losing its vintage, basket or legal status?

A. The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. B. Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. C. Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. D. The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates.

Answer: C. Explanation: Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q32. Which option avoids the standard UPSC close-option trap about GST Council voting?

A. Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. B. The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. C. The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. D. Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision.

Answer: D. Explanation: Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q33. Which statement correctly identifies IGST settlement?

A. The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. B. The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. C. Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. D. The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement.

Answer: A. Explanation: The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q34. Which option preserves the accounting or regulatory boundary of IGST settlement?

A. The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. B. The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. C. Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. D. The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort.

Answer: B. Explanation: The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q35. Which statement uses IGST settlement without losing its vintage, basket or legal status?

A. The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. B. Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. C. The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. D. The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort.

Answer: C. Explanation: The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q36. Which option avoids the standard UPSC close-option trap about IGST settlement?

A. The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. B. Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. C. The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. D. The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention.

Answer: D. Explanation: The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q37. Which statement correctly identifies GST compensation?

A. The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. B. The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. C. The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. D. Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria.

Answer: A. Explanation: The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q38. Which option preserves the accounting or regulatory boundary of GST compensation?

A. The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. B. The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. C. Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. D. The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort.

Answer: B. Explanation: The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q39. Which statement uses GST compensation without losing its vintage, basket or legal status?

A. The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. B. Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. C. The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. D. The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort.

Answer: C. Explanation: The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. The other options belong to different measures, vintages, baskets,

instruments, institutions or legal perimeters.

Q40. Which option avoids the standard UPSC close-option trap about GST compensation?

A. CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. B. Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. C. The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. D. The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement.

Answer: D. Explanation: The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q41. Which statement correctly identifies Finance Commission role?

A. The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. B. Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. C. The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. D. The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort.

Answer: A. Explanation: The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q42. Which option preserves the accounting or regulatory boundary of Finance Commission role?

A. The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. B. The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. C. The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. D. Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise.

Answer: B. Explanation: The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q43. Which statement uses Finance Commission role without losing its vintage, basket or legal status?

A. CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. B. The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. C. The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. D. Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise.

Answer: C. Explanation: The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q44. Which option avoids the standard UPSC close-option trap about Finance Commission role?

A. Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. B. ED, DRI and DGCI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable. C. CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. D. The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates.

Answer: D. Explanation: The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q45. Which statement correctly identifies Vertical and horizontal imbalance?

A. Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. B. The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. C. The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. D. Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise.

Answer: A. Explanation: Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q46. Which option preserves the accounting or regulatory boundary of Vertical and horizontal imbalance?

A. CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. B. Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. C. Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. D. The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum.

Answer: B. Explanation: Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q47. Which statement uses Vertical and horizontal imbalance without losing its vintage, basket or legal status?

A. Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. B. CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. C. Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. D. ED, DRI and DGCI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable.

Answer: C. Explanation: Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q48. Which option avoids the standard UPSC close-option trap about Vertical and horizontal imbalance?

A. ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable. B. CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. C. Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions. D. Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria.

Answer: D. Explanation: Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q49. Which statement correctly identifies Fifteenth Finance Commission?

A. The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. B. The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. C. CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. D. Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise.

Answer: A. Explanation: The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q50. Which option preserves the accounting or regulatory boundary of Fifteenth Finance Commission?

A. Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. B. The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. C. ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable. D. CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters.

Answer: B. Explanation: The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q51. Which statement uses Fifteenth Finance Commission without losing its vintage, basket or legal status?

A. CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. B. Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions. C. The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. D. ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable.

Answer: C. Explanation: The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q52. Which option avoids the standard UPSC close-option trap about Fifteenth Finance Commission?

A. Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions. B. ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable. C. The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status. D. The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort.

Answer: D. Explanation: The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q53. Which statement correctly identifies Sixteenth Finance Commission?

A. The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. B. Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. C. CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. D. ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable.

Answer: A. Explanation: The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q54. Which option preserves the accounting or regulatory boundary of Sixteenth Finance Commission?

A. ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable. B. The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. C. CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. D. Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions.

Answer: B. Explanation: The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q55. Which statement uses Sixteenth Finance Commission without losing its vintage, basket or legal status?

A. Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions. B. ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable. C. The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. D. The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status.

Answer: C. Explanation: The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q56. Which option avoids the standard UPSC close-option trap about Sixteenth Finance Commission?

A. The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. B. The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status. C. Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions. D. The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum.

Answer: D. Explanation: The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q57. Which statement correctly identifies Cesses and surcharges?

A. Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. B. ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable. C. Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions. D. CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters.

Answer: A. Explanation: Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q58. Which option preserves the accounting or regulatory boundary of Cesses and surcharges?

A. The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status. B. Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. C. Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions. D. ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable.

Answer: B. Explanation: Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q59. Which statement uses Cesses and surcharges without losing its vintage, basket or legal status?

A. The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. B. The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status. C. Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. D. Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset

definition only subject to statutory conditions.

Answer: C. Explanation: Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q60. Which option avoids the standard UPSC close-option trap about Cesses and surcharges?

A. The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status. B. Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. C. The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. D. Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise.

Answer: D. Explanation: Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q61. Which statement correctly identifies Tax administration?

A. CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. B. ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable. C. Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions. D. The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status.

Answer: A. Explanation: CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q62. Which option preserves the accounting or regulatory boundary of Tax administration?

A. The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status. B. CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. C. Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions. D. The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment.

Answer: B. Explanation: CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q63. Which statement uses Tax administration without losing its vintage, basket or legal status?

A. The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. B. The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status. C. CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. D. Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices.

Answer: C. Explanation: CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q64. Which option avoids the standard UPSC close-option trap about Tax administration?

A. Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. B. The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. C. Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. D. CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters.

Answer: D. Explanation: CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q65. Which statement correctly identifies Economic-enforcement agencies?

A. ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable. B. The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. C. The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status. D. Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions.

Answer: A. Explanation: ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q66. Which option preserves the accounting or regulatory boundary of Economic-enforcement agencies?

A. Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. B. ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable. C. The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. D. The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status.

Answer: B. Explanation: ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q67. Which statement uses Economic-enforcement agencies without losing its vintage, basket or legal status?

A. Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. B. Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. C. ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable. D. The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment.

Answer: C. Explanation: ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q68. Which option avoids the standard UPSC close-option trap about Economic-enforcement agencies?

A. Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. B. GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. C. Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. D. ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable.

Answer: D. Explanation: ED, DRI and DGGI function under the Department of Revenue, Ministry of Finance, but their statutory domains are not interchangeable. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q69. Which statement correctly identifies Agricultural-income boundary?

A. Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions. B. The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. C. The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status. D. Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices.

Answer: A. Explanation: Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q70. Which option preserves the accounting or regulatory boundary of Agricultural-income boundary?

A. Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. B. Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions. C. The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. D. Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices.

Answer: B. Explanation: Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q71. Which statement uses Agricultural-income boundary without losing its vintage, basket or legal status?

A. GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. B. Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. C. Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions. D. Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices.

Answer: C. Explanation: Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions. The other options

belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q72. Which option avoids the standard UPSC close-option trap about Agricultural-income boundary?

A. Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. B. GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. C. Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. D. Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions.

Answer: D. Explanation: Allied rural activity is not automatically agricultural income, and rural agricultural land is generally outside the capital-asset definition only subject to statutory conditions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q73. Which statement correctly identifies Digital and indirect-transfer taxation?

A. The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status. B. Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. C. The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. D. Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence.

Answer: A. Explanation: The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q74. Which option preserves the accounting or regulatory boundary of Digital and indirect-transfer taxation?

A. Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. B. The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status. C. Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. D. GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment.

Answer: B. Explanation: The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q75. Which statement uses Digital and indirect-transfer taxation without losing its vintage, basket or legal status?

A. GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. B. Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. C. The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status. D. Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied.

Answer: C. Explanation: The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both

require year-specific legal status. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q76. Which option avoids the standard UPSC close-option trap about Digital and indirect-transfer taxation?

A. Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. B. GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. C. The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. D. The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status.

Answer: D. Explanation: The Equalisation Levy addressed specified non-resident digital services, while indirect-transfer rules can tax offshore share transfers deriving substantial value from Indian assets; both require year-specific legal status. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q77. Which statement correctly identifies Income-tax law and federal trust?

A. The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. B. Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. C. Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. D. GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment.

Answer: A. Explanation: The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q78. Which option preserves the accounting or regulatory boundary of Income-tax law and federal trust?

A. Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. B. The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. C. Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. D. GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment.

Answer: B. Explanation: The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q79. Which statement uses Income-tax law and federal trust without losing its vintage, basket or legal status?

A. GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. B. Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. C. The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. D. The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST.

Answer: C. Explanation: The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q80. Which option avoids the standard UPSC close-option trap about Income-tax law and federal trust?

A. Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. B. The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. C. The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. D. The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment.

Answer: D. Explanation: The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

PYQS AND ANSWER PRACTICE

VERIFIED PYQ OWNERSHIP AUDIT

Audited ledgers route Mains demands on taxes subsumed in GST and the GST compensation framework, plus objective demands on equalisation levy, GST exemptions, indirect transfers, Fifteenth Finance Commission criteria, enforcement agencies and agricultural-income boundaries. Objective answer letters are not inferred.

OWNER PYQ LEDGER EXTRACTS

9. PYQ application

- ANALYSIS: 2025 Prelims tested agricultural income and rural agricultural land under income-tax concepts.
- ANALYSIS: 2025 GS-III Fiscal Health Index invites comparison of state revenue effort and expenditure quality.
- FACT: **2025 Prelims Q66:** directly tested Fifteenth Finance Commission propositions-41% (not 45%) devolution, education/agriculture-performance grants and reintroduced tax effort. See . . /README .md.
- ANALYSIS: Historical PYQs also require recall of equalisation levy, GST exemptions, indirect-transfer rules and the parent ministries of ED, DRI and DGCI.

Recent PYQ Integration (2024-2025)

Status: 2024-2025 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-PRELIMS-2024-2025.md. **Answer-key rule:** The official 2024-2025 Prelims Set-A keys are present in the repository and CSAT Set-A keys are supplied; even so, no option or answer is recorded or inferred in this integration.

- **Years represented:** 2025
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 2

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2025	Prelims GS-I	3	Enforcement agencies (ED, DRI, DGCI) and their parent ministries	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.
2025	Prelims GS-I	5	Taxation of allied agricultural income; rural agricultural land as a capital asset	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Enforcement agencies (ED, DRI, DGCI) and their parent ministries
- Taxation of allied agricultural income; rural agricultural land as a capital asset

This block integrates the 2024-2025 examinable demand and paper metadata. It is kept separate from the 2018-2023 block and does not convert an unkeyed/answer-free objective question into a solved answer.

Historical PYQ Integration (2018-2023)

Status: Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md, _PYQ-ROUTING-PRELIMS-2018-2023.md.

Answer-key rule: The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2018, 2019, 2020, 2022, 2023
- **Paper(s):** GS-III, Prelims GS-I
- **Routed question demands:** 6

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2018	Prelims GS-I	8	Equalization tax on non-resident online advertising services India	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2018	Prelims GS-I	97	Items exempted under Goods and Services Tax India	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	GS-III	1	Indirect taxes subsumed in GST and revenue implications	Enumerate · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2020	GS-III	12	GST Compensation to States Act 2017 and COVID-19 impact	Explain · 15 marks · 250 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2022	Prelims GS-I	8	Indirect transfer of shares and assets taxation India	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2023	Prelims GS-I	29	Fifteenth Finance Commission horizontal tax devolution criteria	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Equalization tax on non-resident online advertising services India
- Items exempted under Goods and Services Tax India

- Indirect taxes subsumed in GST and revenue implications
- GST Compensation to States Act 2017 and COVID-19 impact
- Indirect transfer of shares and assets taxation India
- Fifteenth Finance Commission horizontal tax devolution criteria

The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

10. PYQ-based analytical application

- ANALYSIS: 2025 Prelims tested agricultural income and rural agricultural land under income-tax concepts.
- ANALYSIS: 2025 GS-III Fiscal Health Index invites comparison of state revenue effort and expenditure quality.
- FACT: **2025 Prelims Q66:** tested XV-FC's 41% share and specified grant/tax-effort propositions. Exact route: . . /README . md.

Historical PYQ Integration (2018-2023)

Status: Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-MAINS-GS3-GS4-2018-2023 . md.

- **Years represented:** 2019, 2020
- **Paper(s):** GS-III
- **Routed question demands:** 2

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2019	GS-III	1	Indirect taxes subsumed in GST and revenue implications	Enumerate · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2020	GS-III	12	GST Compensation to States Act 2017 and COVID-19 impact	Explain · 15 marks · 250 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- Indirect taxes subsumed in GST and revenue implications
- GST Compensation to States Act 2017 and COVID-19 impact

The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

PYQ DEMAND CARD 1 - 2019 GS-III

Demand: Enumerate the indirect taxes subsumed in GST and explain the revenue implications.

Status: Verified routed Mains demand; original model solution, not an official answer.

Model solution: GST destination principle: GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. **Input tax credit:** Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. **Subsumed Union taxes:** The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. **Subsumed State taxes:** The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. **GST exclusions:** Basic

customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Demand decoding: The directive **answer** requires a direct position on “PYQ DEMAND CARD 1 - 2019 GS-III”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: GST destination principle: GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. **Input tax credit:** Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. **Subsumed Union taxes:** The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. **Subsumed State taxes:** The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. **GST exclusions:** Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Analytical body:

1. **Claim and named evidence:** Demand: Enumerate the indirect taxes subsumed in GST and explain the revenue implications. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Status: Verified routed Mains demand; original model solution, not an official answer. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: GST destination principle: GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. **Input tax credit:** Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. **Subsumed Union taxes:** The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. **Subsumed State taxes:** The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. **GST exclusions:** Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “PYQ DEMAND CARD 1 - 2019 GS-III”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

PYQ DEMAND CARD 2 - 2020 GS-III

Demand: Explain the GST Compensation to States Act, 2017 and the fiscal-federal challenge created by the COVID-19 shock.

Status: Verified routed Mains demand; original model solution, not an official answer.

Model solution: IGST settlement: The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. **GST compensation:** The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement.

Finance Commission role: The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. **Cesses and surcharges:** Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Demand decoding: The directive **answer** requires a direct position on “PYQ DEMAND CARD 2 - 2020 GS-III”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: IGST settlement: The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. **GST compensation:** The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. **Finance Commission role:** The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. **Cesses and surcharges:** Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Analytical body:

1. **Claim and named evidence:** Demand: Explain the GST Compensation to States Act, 2017 and the fiscal-federal challenge created by the COVID-19 shock. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Status: Verified routed Mains demand; original model solution, not an official answer. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: IGST settlement: The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. **GST compensation:** The GST (Compensation to States) Act, 2017 created a five-year 2017-2022 transition guarantee based on 14 per cent annual protected revenue growth over the 2015-16 base; it was not a permanent constitutional entitlement. **Finance Commission role:** The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. **Cesses and surcharges:** Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "PYQ DEMAND CARD 2 - 2020 GS-III", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish direct, indirect, progressive and regressive tax concepts. Answer in about 150 words.

Model thesis: Claim: Direct and indirect taxes. **Named evidence/example:** Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Progressivity. **Named evidence/example:** Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence.

Analysis: This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices.
- Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence.

Qualified conclusion: Claim: Direct and indirect taxes. **Named evidence/example:** Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Progressivity. **Named evidence/example:** Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive answer requires a direct position on "Distinguish direct, indirect, progressive and regressive tax concepts. Answer in about 150...", every clause, exact formula/category, institution and policy status, a

monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** Direct and indirect taxes. **Named evidence/example:** Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Progressivity. **Named evidence/example:** Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: **Claim:** Direct and indirect taxes. **Named evidence/example:** Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Progressivity. **Named evidence/example:** Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Distinguish direct, indirect, progressive and regressive tax concepts. Answer in about 150...”, replace the weakest catalogue point with one exact formula or classification, named

institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 2 - 10 MARKS

Question: Explain GST's destination principle and input-tax-credit mechanism. Answer in about 150 words.

Model thesis: **Claim:** GST destination principle. **Named evidence/example:** GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Input tax credit. **Named evidence/example:** Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** IGST settlement. **Named evidence/example:** The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment.
- Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied.
- The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention.

Qualified conclusion: **Claim:** GST destination principle. **Named evidence/example:** GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Input tax credit. **Named evidence/example:** Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** IGST settlement. **Named evidence/example:** The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **explain** requires a direct position on “Explain GST's destination principle and input-tax-credit mechanism. Answer in about 150 words.”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** GST destination principle. **Named evidence/example:** GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Input tax credit.

Named evidence/example: Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** IGST settlement. **Named evidence/example:** The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: **Claim:** GST destination principle. **Named evidence/example:** GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Input tax credit. **Named evidence/example:** Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** IGST settlement. **Named evidence/example:** The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis ->

qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Explain GST's destination principle and input-tax-credit mechanism. Answer in about 150 words.”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 3 - 15 MARKS

Question: Enumerate the major subsumed and excluded tax categories under GST. Answer in about 250 words.

Model thesis: **Claim:** Subsumed Union taxes. **Named evidence/example:** The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Subsumed State taxes. **Named evidence/example:** The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GST exclusions. **Named evidence/example:** Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST.
- The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST.
- Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage.

Qualified conclusion: **Claim:** Subsumed Union taxes. **Named evidence/example:** The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Subsumed State taxes. **Named evidence/example:** The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GST exclusions. **Named evidence/example:** Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products

as not yet brought under GST at its stated vintage. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “Enumerate the major subsumed and excluded tax categories under GST. Answer in about 250 words.”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Subsumed Union taxes. **Named evidence/example:** The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Subsumed State taxes. **Named evidence/example:** The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GST exclusions. **Named evidence/example:** Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Subsumed Union taxes. **Named evidence/example:** The owner lists Central Excise Duty on covered items, Service Tax, Additional Excise Duties, CVD, SAD and relevant central cesses or surcharges on supply among Union levies subsumed into GST. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Subsumed State taxes. **Named evidence/example:** The owner lists State VAT or Sales Tax, Central Sales Tax as collected, Purchase Tax, specified Entertainment Tax, Octroi or Entry Tax, Luxury Tax and taxes on lotteries, betting and gambling among State levies subsumed into GST. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GST exclusions. **Named evidence/example:** Basic customs duty, stamp duty, property tax, electricity duty and state excise on alcohol for human consumption remain outside GST, while the owner records specified petroleum products as not yet brought under GST at its stated vintage. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Enumerate the major subsumed and excluded tax categories under GST. Answer in about 250 words.”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 4 - 15 MARKS

Question: Distinguish the GST Council and Finance Commission. Answer in about 250 words.

Model thesis: Claim: GST Council voting. **Named evidence/example:** Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Finance Commission role. **Named evidence/example:** The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Vertical and horizontal imbalance. **Named evidence/example:** Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision.

- The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates.
- Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria.

Qualified conclusion: Claim: GST Council voting. **Named evidence/example:** Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Finance Commission role. **Named evidence/example:** The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Vertical and horizontal imbalance. **Named evidence/example:** Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “Distinguish the GST Council and Finance Commission. Answer in about 250 words.”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: GST Council voting. **Named evidence/example:** Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Finance Commission role. **Named evidence/example:** The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Vertical and horizontal imbalance. **Named evidence/example:** Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off

or residual risk.

3. **Claim and named evidence:** Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: **Claim:** GST Council voting. **Named evidence/example:** Article 279A gives the Centre one-third of weighted GST Council votes and states together two-thirds, with at least three-fourths of weighted votes required for a decision. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Finance Commission role. **Named evidence/example:** The Finance Commission is a constitutional body recommending tax devolution and grants and does not set GST rates. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Vertical and horizontal imbalance. **Named evidence/example:** Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Distinguish the GST Council and Finance Commission. Answer in about 250 words.", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 5 - 20 MARKS

Question: Evaluate India's fiscal-federal architecture through devolution, cesses and GST settlement. Answer in about 300 words.

Model thesis: **Claim:** IGST settlement. **Named evidence/example:** The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Vertical and horizontal imbalance. **Named evidence/example:** Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise

beyond the source. **Claim:** Fifteenth Finance Commission. **Named evidence/example:** The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Sixteenth Finance Commission. **Named evidence/example:** The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Cesses and surcharges. **Named evidence/example:** Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention.
- Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria.
- The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort.
- The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum.
- Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise.

Qualified conclusion: **Claim:** IGST settlement. **Named evidence/example:** The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Vertical and horizontal imbalance. **Named evidence/example:** Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Fifteenth Finance Commission. **Named evidence/example:** The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Sixteenth Finance Commission. **Named evidence/example:** The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Cesses and surcharges. **Named evidence/example:** Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and

can narrow states' untied share even when gross Union tax collections rise. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **evaluate** requires a direct position on "Evaluate India's fiscal-federal architecture through devolution, cesses and GST settlement....", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: IGST settlement. **Named evidence/example:** The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Vertical and horizontal imbalance. **Named evidence/example:** Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Fifteenth Finance Commission. **Named evidence/example:** The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Sixteenth Finance Commission. **Named evidence/example:** The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Cesses and surcharges. **Named evidence/example:** Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

- 1. Claim and named evidence:** The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
- 2. Claim and named evidence:** Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
- 3. Claim and named evidence:** The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic

performance and tax effort. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

4. **Claim and named evidence:** The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

5. **Claim and named evidence:** Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: IGST settlement. **Named evidence/example:** The IGST architecture supports inter-state supply taxation and settlement toward the destination jurisdiction; it must not be described as simple origin-based revenue retention. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Vertical and horizontal imbalance. **Named evidence/example:** Vertical devolution addresses the Union-state resource gap, while horizontal distribution allocates the states' share among states using capacity, need and incentive criteria. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Fifteenth Finance Commission. **Named evidence/example:** The owner records a 41 per cent vertical devolution share for the Fifteenth Finance Commission and criteria including income distance, population, area, forest and ecology, demographic performance and tax effort. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Sixteenth Finance Commission. **Named evidence/example:** The owner records the Sixteenth Finance Commission award period as 2026-27 to 2030-31 and the accepted vertical share as 41 per cent of the divisible pool; other recommendations require the report and action-taken memorandum. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Cesses and surcharges. **Named evidence/example:** Cesses and surcharges have sharing treatment distinct from ordinary divisible-pool taxes and can narrow states' untied share even when gross Union tax collections rise. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag,

causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Evaluate India's fiscal-federal architecture through devolution, cesses and GST settlement....”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 6 - 20 MARKS

Question: How can tax design balance equity, compliance, state autonomy and a common market? Answer in about 300 words.

Model thesis: Claim: Direct and indirect taxes. **Named evidence/example:** Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Progressivity. **Named evidence/example:** Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence.

Analysis: This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GST destination principle. **Named evidence/example:** GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Input tax credit. **Named evidence/example:** Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Tax administration. **Named evidence/example:** CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Income-tax law and federal trust. **Named evidence/example:** The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices.
- Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence.
- GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment.
- Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied.

- CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters.
- The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment.

Qualified conclusion: Claim: Direct and indirect taxes. **Named evidence/example:** Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Progressivity. **Named evidence/example:** Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GST destination principle. **Named evidence/example:** GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Input tax credit. **Named evidence/example:** Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Tax administration. **Named evidence/example:** CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Income-tax law and federal trust. **Named evidence/example:** The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “How can tax design balance equity, compliance, state autonomy and a common market? Answer in...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Direct and indirect taxes. **Named evidence/example:** Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Progressivity. **Named evidence/example:** Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GST destination principle. **Named evidence/example:** GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. **Analysis:** This identifies the economic mechanism,

the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Input tax credit. **Named evidence/example:** Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Tax administration. **Named evidence/example:** CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Income-tax law and federal trust. **Named evidence/example:** The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
6. **Claim and named evidence:** The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. **Analysis:**

Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect.

Qualification: State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Direct and indirect taxes. **Named evidence/example:** Direct taxes impose legal incidence on income, profit or wealth-related bases, while indirect taxes apply to transactions or consumption and may be shifted through prices. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Progressivity. **Named evidence/example:** Progressive, proportional and regressive describe how the burden changes relative to income, tax base or ability to pay; statutory rate alone does not establish incidence. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GST destination principle. **Named evidence/example:** GST is a destination-based value-added tax on supply, so final consumption jurisdiction is central to revenue assignment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Input tax credit. **Named evidence/example:** Input tax credit reduces cascading only when legal eligibility, invoice and compliance conditions are satisfied. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Tax administration. **Named evidence/example:** CBDT administers Union direct taxes, while CBIC and state GST administrations handle indirect-tax and GST functions within their respective legal perimeters. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Income-tax law and federal trust. **Named evidence/example:** The owner records the Income-tax Act, 2025 and Income-tax Rules, 2026 as commencing on 1 April 2026 while earlier years remain governed by the applicable prior law; sound fiscal federalism also requires predictable transfers, compliance capacity and transparent assignment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “How can tax design balance equity, compliance, state autonomy and a common market? Answer in...”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.